

Monetary Masala

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Anirban Basu is the Chairman and CEO of Sage Policy Group, an economic and policy consulting firm headquartered in Baltimore, Maryland with an office in Orlando, Florida.

In 2014, Maryland Governor Larry Hogan appointed him Chair of the Maryland Economic Development Commission (2014-2021). He serves as Chairman of the Baltimore County Economic Advisory Committee. He also serves the chief economist function for Associated Builders and Contractors, the Construction Financial Management Association, the Modular Building Institute, the Maryland Bankers Association, the International Food Distributors Association, and several others.

The Taking of Inflation 2.0



The Taking of Pelham 123 (2009)—Denzel Washington as Train Dispatcher

Core CPI & PCE, 12-Month % Change (SA)

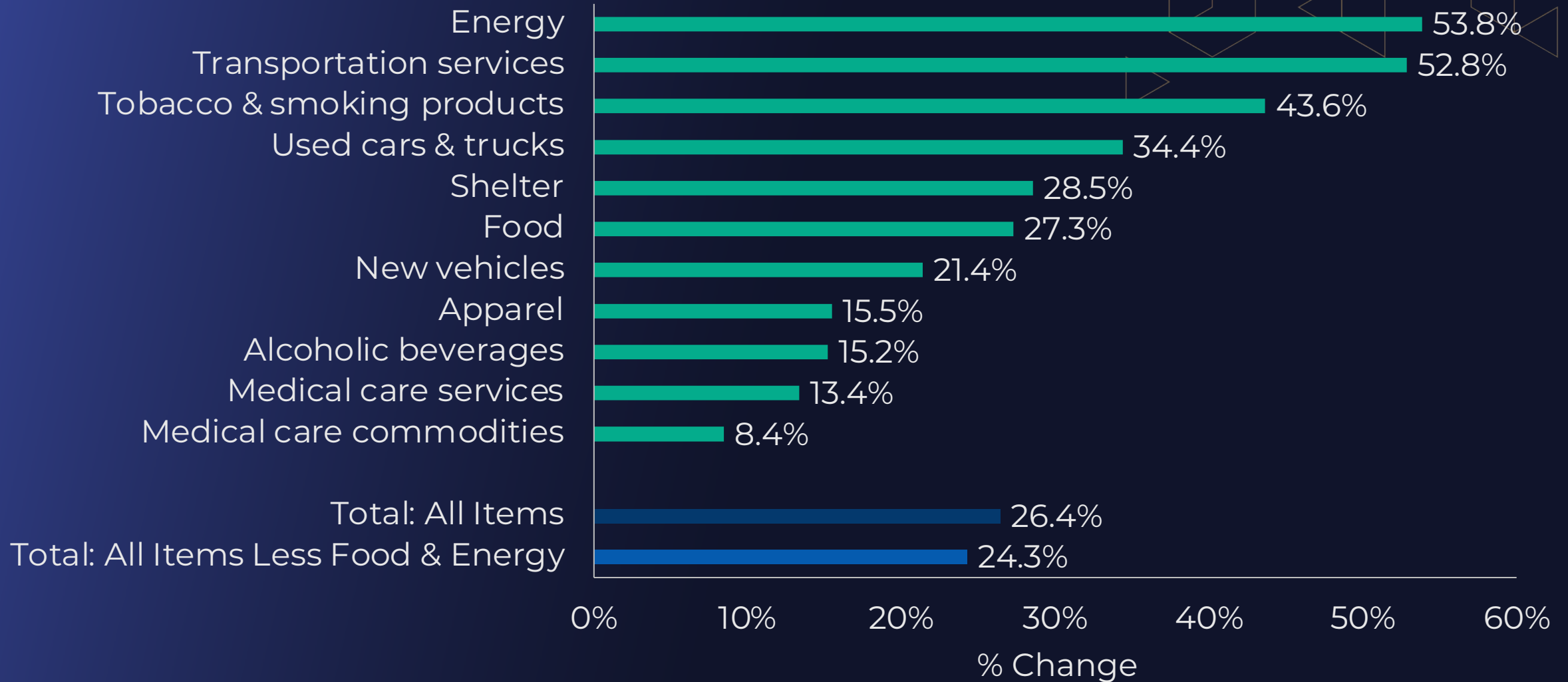
2019 – July/August 2025



Source: U.S. Bureau of Labor Statistics; U.S. Bureau of Economic Analysis *Core: All items less food and energy

Consumer Price Index, Select Categories (SA)

% Change May 2020 v. August 2025



The Manhattan Candidate

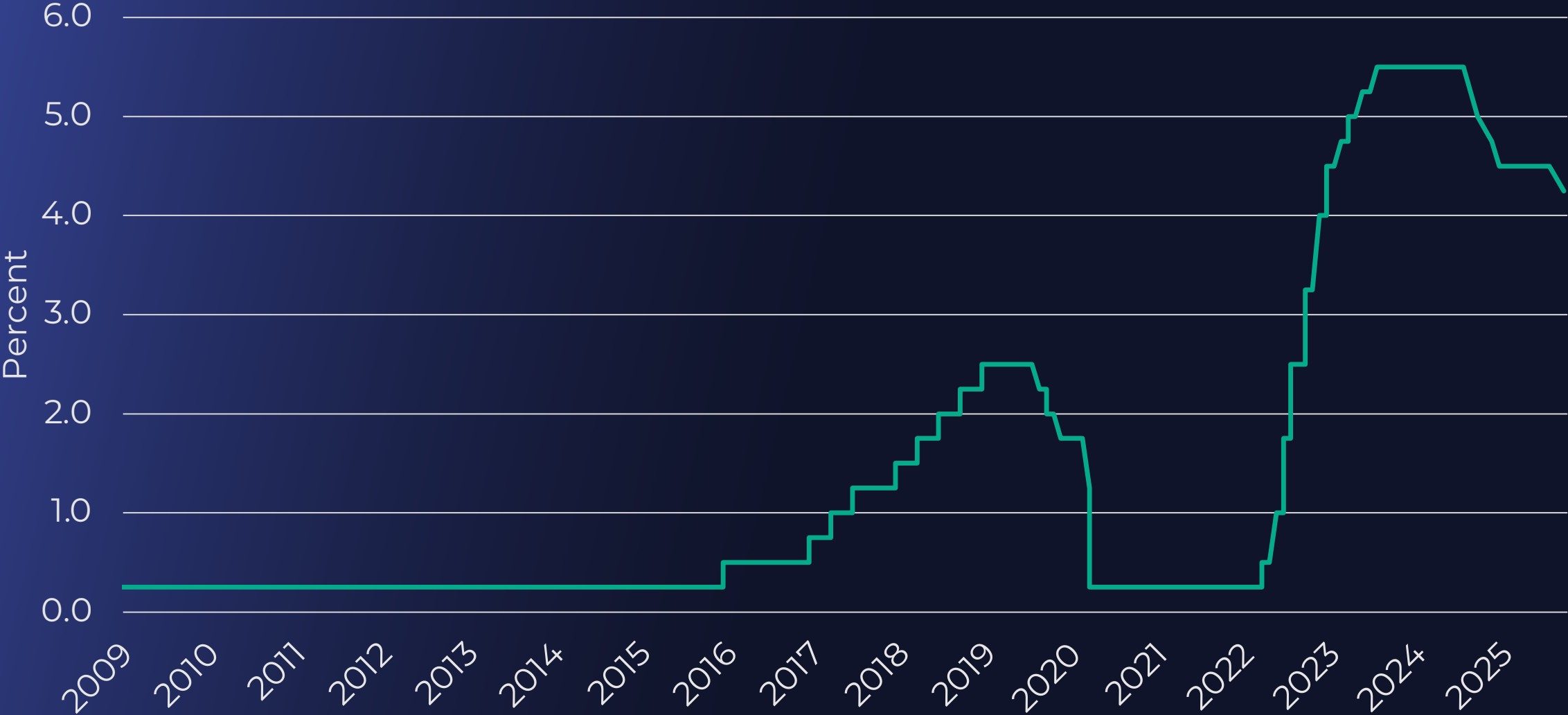
10% minimum tariffs on all countries: Canada (10-25%); China (10-125%); EU (15%); Mexico (25-30%); some of these delayed during negotiations.

Tariffs on targeted goods: steel and aluminum (50%); copper (50%); automobiles (25%).

Big Beautiful Bill: cuts taxes; raises debt ceiling; adds estimated \$3.4 trillion to national debt over 10 years.

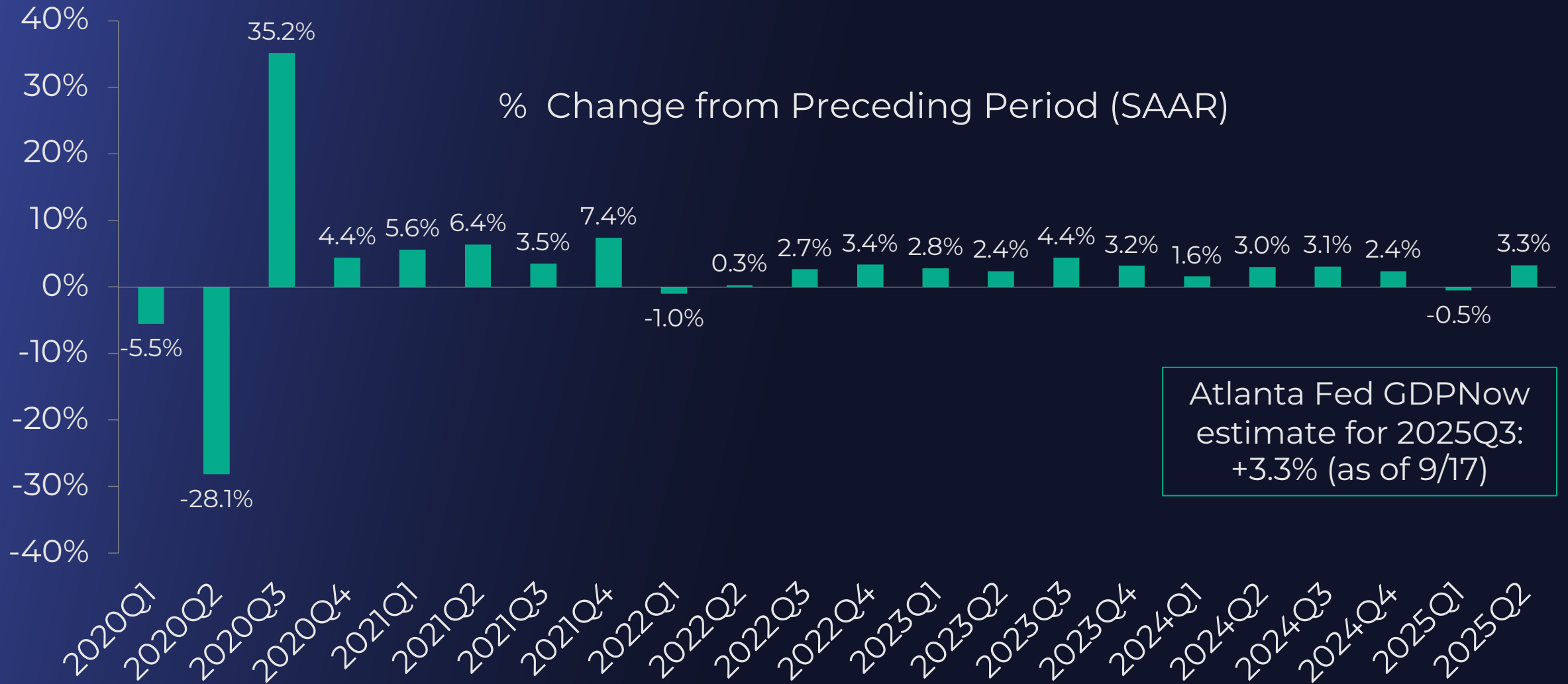
Mass deportations: target of 3,000 ICE arrests per day, according to some sources.

Federal Funds Rate, Target Rate Upper Limit, 2009 – 2025



Source: Board of Governors of the Federal Reserve System

U.S. Gross Domestic Product Growth, 2020 – 2025Q2



Source: U.S. Bureau of Economic Analysis *2025Q2: 2nd estimate

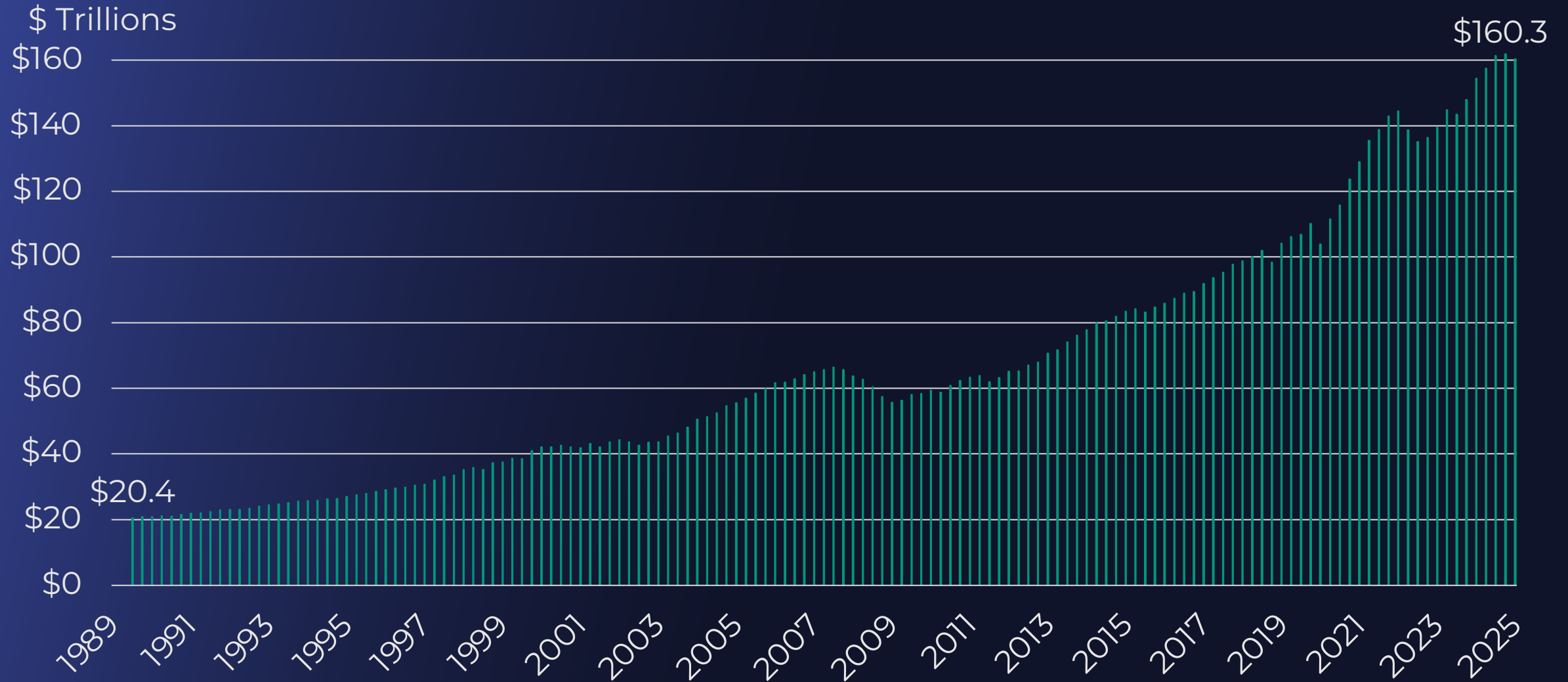
They Got Game

U.S. Retail Sales, 2000 – August 2025



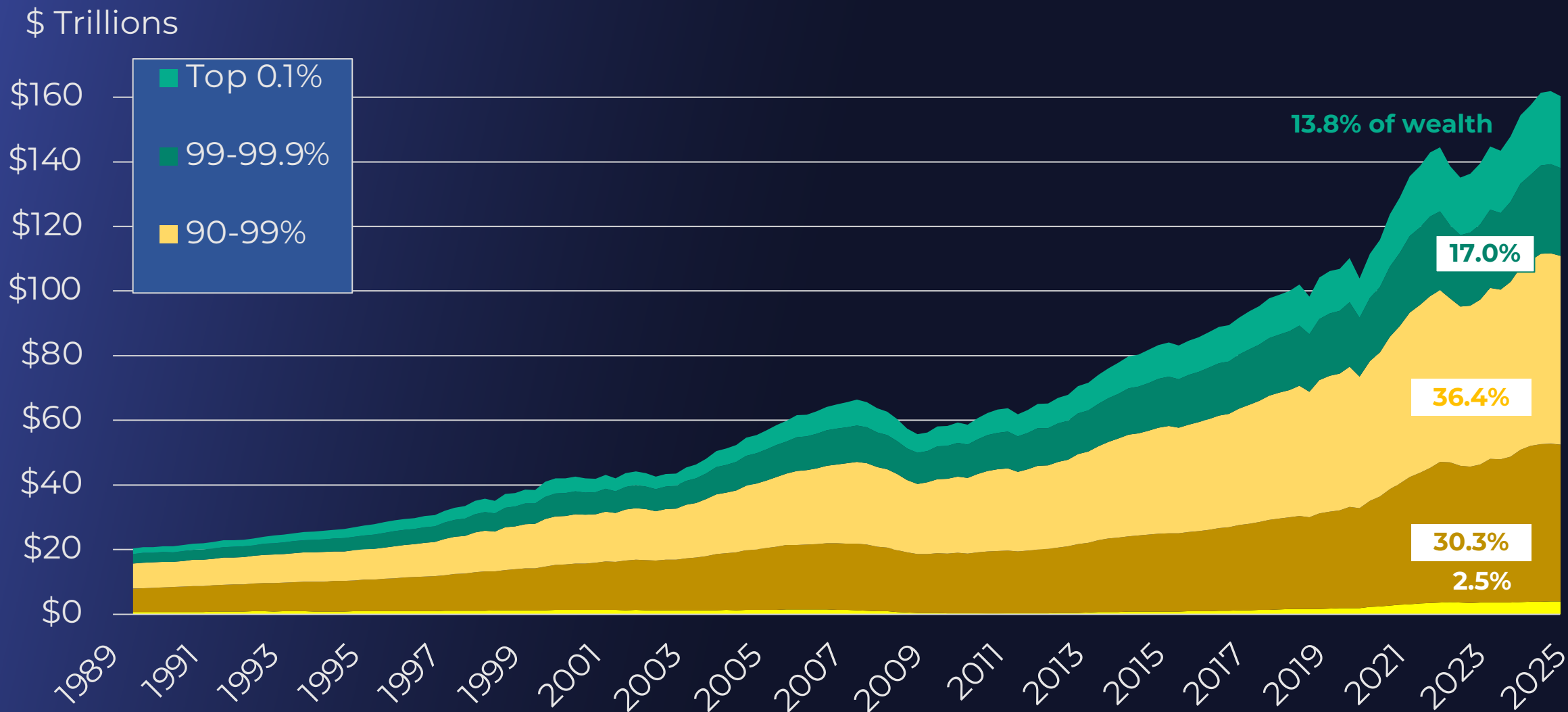
Source: U.S. Census Bureau

Total U.S. Household Wealth, 1989 – 2025



Source: Federal Reserve Board, Distributional Financial Accounts (DFAs)

U.S. Household Wealth by Wealth Percentile Group, 1989 – 2025



Source: Federal Reserve Board, Distributional Financial Accounts (DFAs)



The Equalizer

The Equalizer (2014, 2018, and 2023)—Denzel Washington as mystery man Robert McCall

U.S. Job Openings, 2015 – July 2025



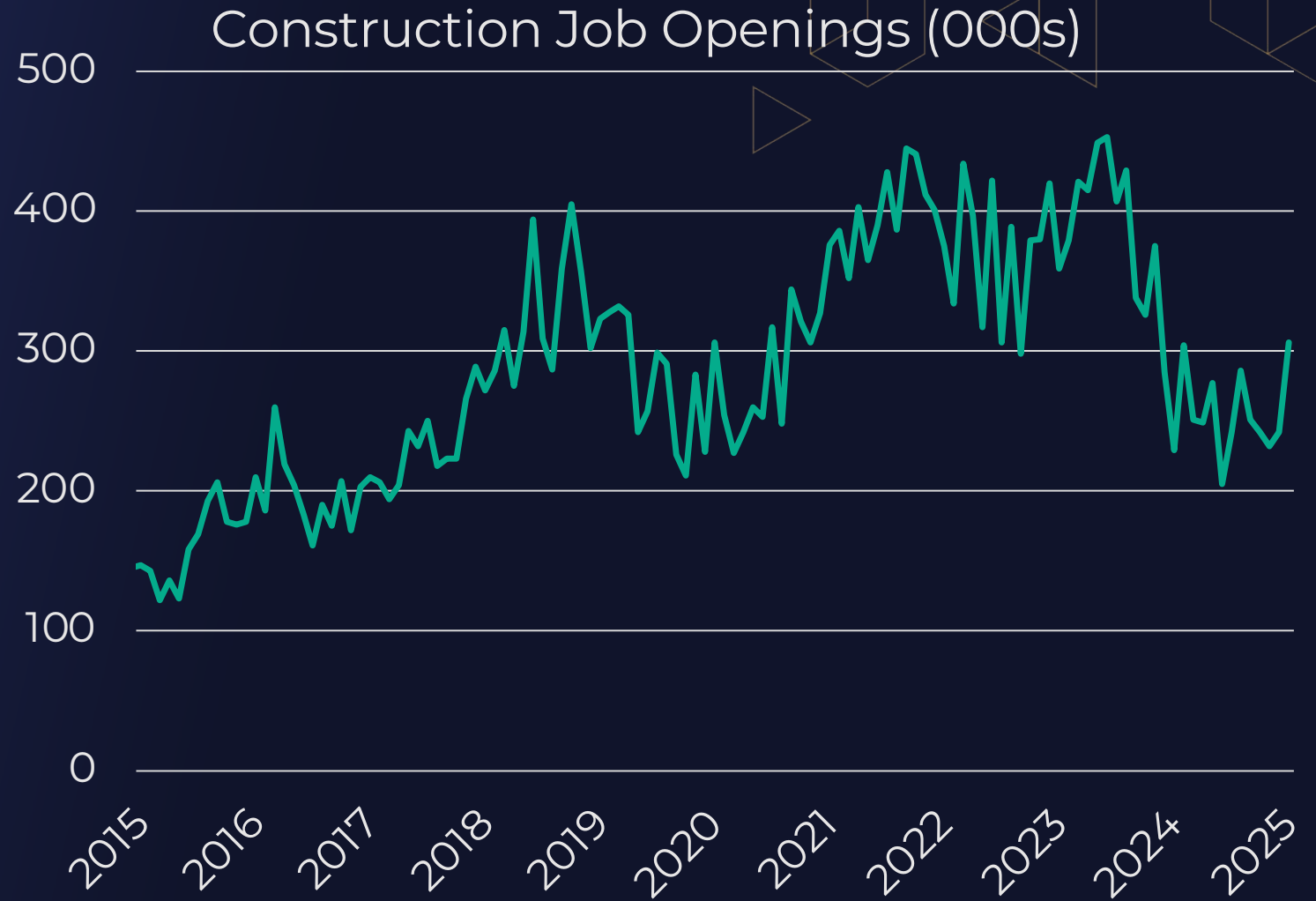
Source: U.S. Bureau of Labor Statistics

U.S. Construction Job Openings, 2015 – July 2025

From 2015-2019 the number of unfilled U.S. construction jobs averaged 228,000.

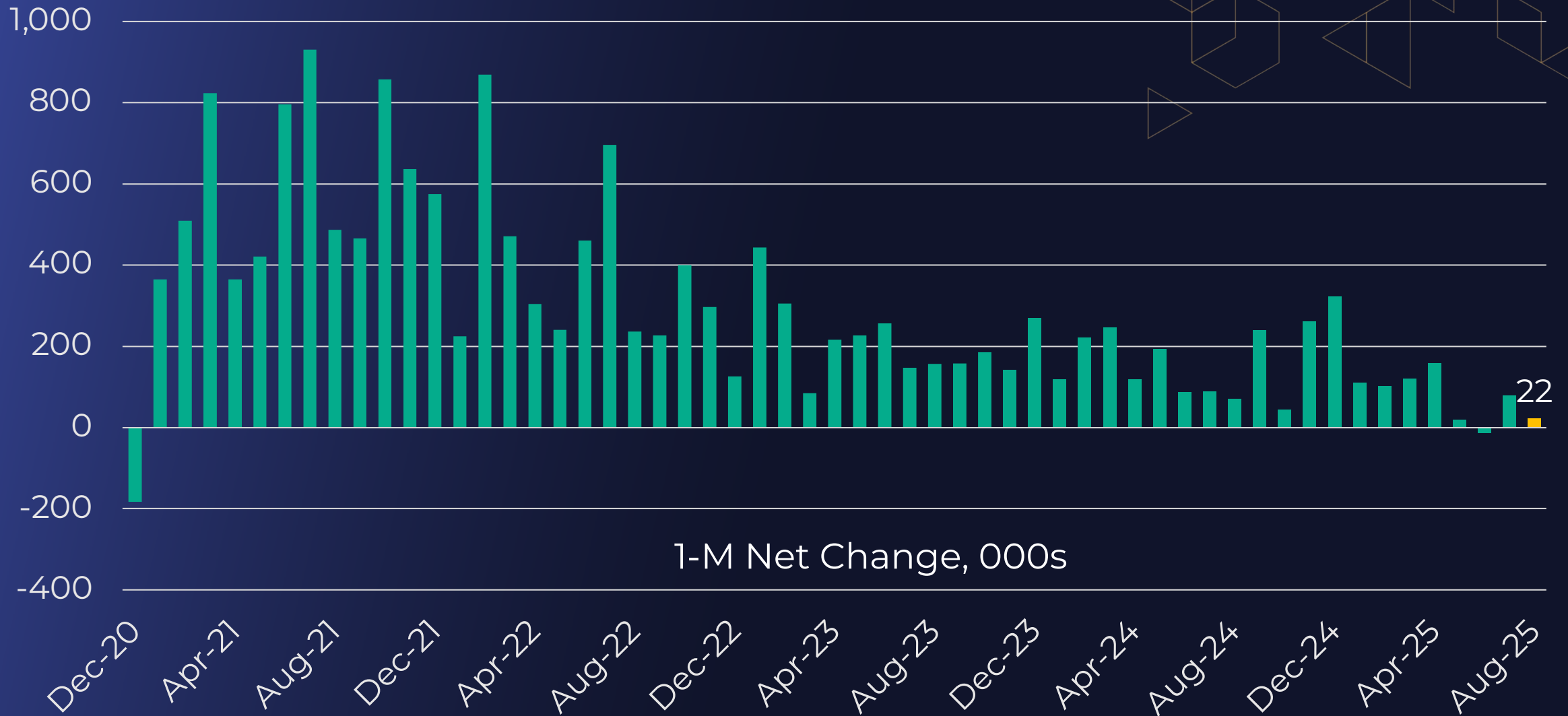
In 2024 there was an average of 306,000 unfilled construction jobs.

That's 34% higher than the 2015-2019 average.



U.S. Job Growth, Monthly

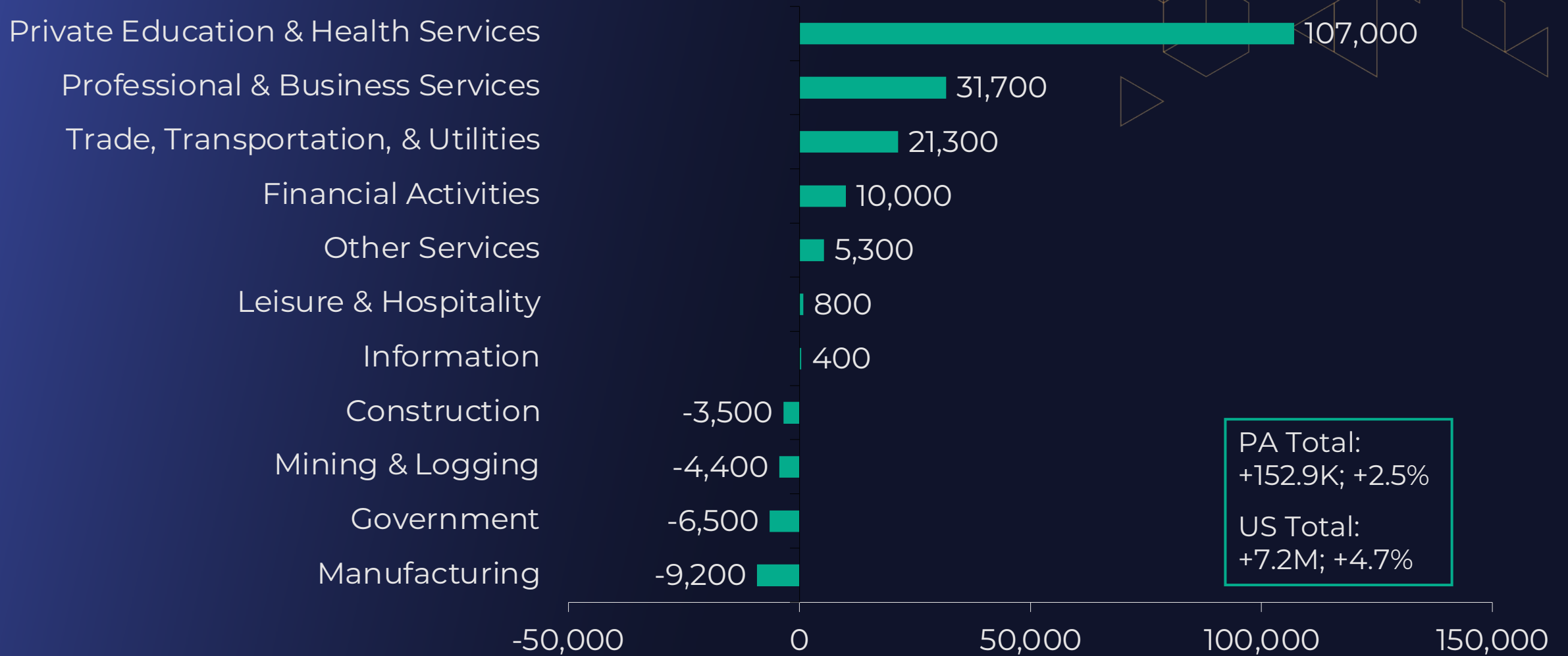
December 2020 – August 2025



Source: U.S. Bureau of Labor Statistics

Pennsylvania Nonfarm Employment

February 2020 v. July 2025 Absolute Change



*According to the Local Area Unemployment Statistics (LAUS) program
PA added 22,843 jobs between February 2020 and July 2025.

Source: U.S. Bureau of Labor Statistics
*Data are seasonally adjusted (SA)



York-Hanover MSA Nonfarm Employment

February 2020 v. July 2025 Absolute Change



Source: U.S. Bureau of Labor Statistics
*Data are not seasonally adjusted (NSA)

Employment Growth, 25 Largest Metros

February 2020 v. July 2025 % Change

Rank	MSA	%
1	Austin-Round Rock-San Marcos, TX	19.2%
2	Dallas-Fort Worth-Arlington, TX	12.5%
3	Orlando-Kissimmee-Sanford, FL	11.4%
3	San Antonio-New Braunfels, TX	11.4%
5	Charlotte-Concord-Gastonia, NC-SC	11.0%
6	Tampa-St. Petersburg-Clearwater, FL	9.6%
7	Atlanta-Sandy Springs-Roswell, GA	8.2%
8	Houston-Pasadena-The Woodlands, TX	8.0%
9	Phoenix-Mesa-Chandler, AZ	7.6%
10	Denver-Aurora-Centennial, CO	7.5%
11	Miami-Fort Lauderdale-West Palm Beach, FL	7.0%
12	Riverside-San Bernardino-Ontario, CA	6.7%
13	Philadelphia-Camden-Wilmington, PA-NJ-DE-MD	5.8%

Rank	MSA	%
14	New York-Newark-Jersey City, NY-NJ	4.7%
15	Chicago-Naperville-Elgin, IL-IN-WI	3.4%
16	Baltimore-Columbia-Towson, MD	3.3%
16	Seattle-Tacoma-Bellevue, WA	3.3%
18	San Diego-Chula Vista-Carlsbad, CA	2.8%
19	Washington-Arlington-Alexandria, DC-VA-MD-WV	2.6%
20	St. Louis, MO-IL	2.1%
21	Detroit-Warren-Dearborn, MI	2.0%
22	Minneapolis-St. Paul-Bloomington, MN-WI	1.8%
23	Boston-Cambridge-Newton, MA-NH	1.3%
24	Los Angeles-Long Beach-Anaheim, CA	-0.8%
25	San Francisco-Oakland-Fremont, CA	-3.3%

Source: Bureau of Labor Statistics, Current Employment Statistics (CES) Survey. Note: data are not seasonally adjusted.

U.S. % Change 2/2020 v. 7/2025: +4.7%



Construction Employment Growth, 25 Largest Metros

February 2020 v. July 2025 % Change

Rank	MSA	%
1	Detroit-Warren-Dearborn, MI	33.0%
2	Minneapolis-St. Paul-Bloomington, MN-WI	30.9%
3	Phoenix-Mesa-Chandler, AZ	30.5%
4	St. Louis, MO-IL	28.7%
5	Austin-Round Rock-San Marcos, TX	27.0%
6	San Antonio-New Braunfels, TX	24.1%
7	Charlotte-Concord-Gastonia, NC-SC	22.6%
8	Chicago-Naperville-Elgin, IL-IN-WI	22.5%
9	Dallas-Fort Worth-Arlington, TX	17.7%
10	Tampa-St. Petersburg-Clearwater, FL	16.5%
11	Miami-Fort Lauderdale-West Palm Beach, FL	14.4%
12	Boston-Cambridge-Newton, MA-NH	13.5%
13	Atlanta-Sandy Springs-Roswell, GA	13.2%

Rank	MSA	%
14	Orlando-Kissimmee-Sanford, FL	12.0%
14	Washington-Arlington-Alexandria, DC-VA-MD-WV	12.0%
16	San Diego-Chula Vista-Carlsbad, CA	7.9%
17	Philadelphia-Camden-Wilmington, PA-NJ-DE-MD	7.2%
18	Denver-Aurora-Centennial, CO	5.8%
19	Riverside-San Bernardino-Ontario, CA	2.8%
20	Baltimore-Columbia-Towson, MD	2.0%
21	New York-Newark-Jersey City, NY-NJ	-0.5%
22	Houston-Pasadena-The Woodlands, TX	-1.2%
23	Seattle-Tacoma-Bellevue, WA	-3.4%
24	Los Angeles-Long Beach-Anaheim, CA	-3.5%
25	San Francisco-Oakland-Fremont, CA	-7.5%

Source: Bureau of Labor Statistics, Current Employment Statistics (CES) Survey. Note: data are not seasonally adjusted.

U.S. % Change 2/2020 v. 7/2025: +9.1%



Unemployment Rates, 25 Largest Metros, July 2025

Rank	MSA	%	Rank	MSA	%
1	Miami-Fort Lauderdale-West Palm Beach, FL	3.4%	12	Tampa-St. Petersburg-Clearwater, FL	4.1%
2	Atlanta-Sandy Springs-Roswell, GA	3.5%	14	Boston-Cambridge-Newton, MA-NH	4.5%
2	Austin-Round Rock-San Marcos, TX	3.5%	14	Houston-Pasadena-The Woodlands, TX	4.5%
4	Baltimore-Columbia-Towson, MD	3.8%	14	Seattle-Tacoma-Bellevue, WA	4.5%
4	Minneapolis-St. Paul-Bloomington, MN-WI	3.8%	14	St. Louis, MO-IL	4.5%
6	Charlotte-Concord-Gastonia, NC-SC	3.9%	18	Chicago-Naperville-Elgin, IL-IN-WI	4.9%
6	Denver-Aurora-Centennial, CO	3.9%	18	Philadelphia-Camden-Wilmington, PA-NJ-DE-MD	4.9%
6	Orlando-Kissimmee-Sanford, FL	3.9%	18	San Francisco-Oakland-Fremont, CA	4.9%
6	San Antonio-New Braunfels, TX	3.9%	21	New York-Newark-Jersey City, NY-NJ	5.1%
10	Dallas-Fort Worth-Arlington, TX	4.0%	22	San Diego-Chula Vista-Carlsbad, CA	5.2%
10	Washington-Arlington-Alexandria, DC-VA-MD-WV	4.0%	23	Detroit-Warren-Dearborn, MI	5.7%
12	Phoenix-Mesa-Chandler, AZ	4.1%	24	Los Angeles-Long Beach-Anaheim, CA	6.0%
			25	Riverside-San Bernardino-Ontario, CA	6.4%

Source: Bureau of Labor Statistics, Local Area Unemployment Statistics (LAUS) program. Note: data are not seasonally adjusted

U.S. Unemployment Rate—Jul: 4.2% | Aug: 4.3%



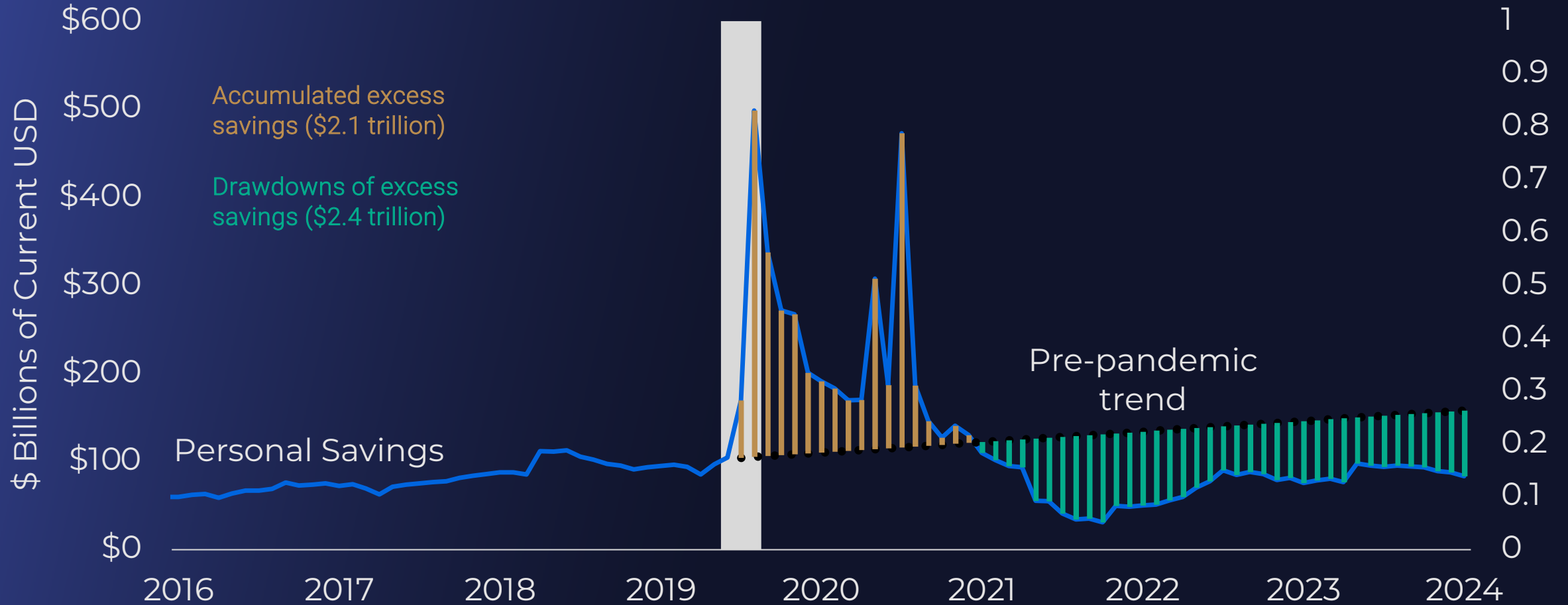
Devil in a Bunch of Data



Devil in a Blue Dress (1995)—Denzel Washington as Easy Rawlins

Drawdown of Pandemic Related Excess Savings

Aggregate Personal Savings Versus the Pre-pandemic Trend
(Abdelrahman and Oliveira, Federal Reserve Bank of San Francisco)



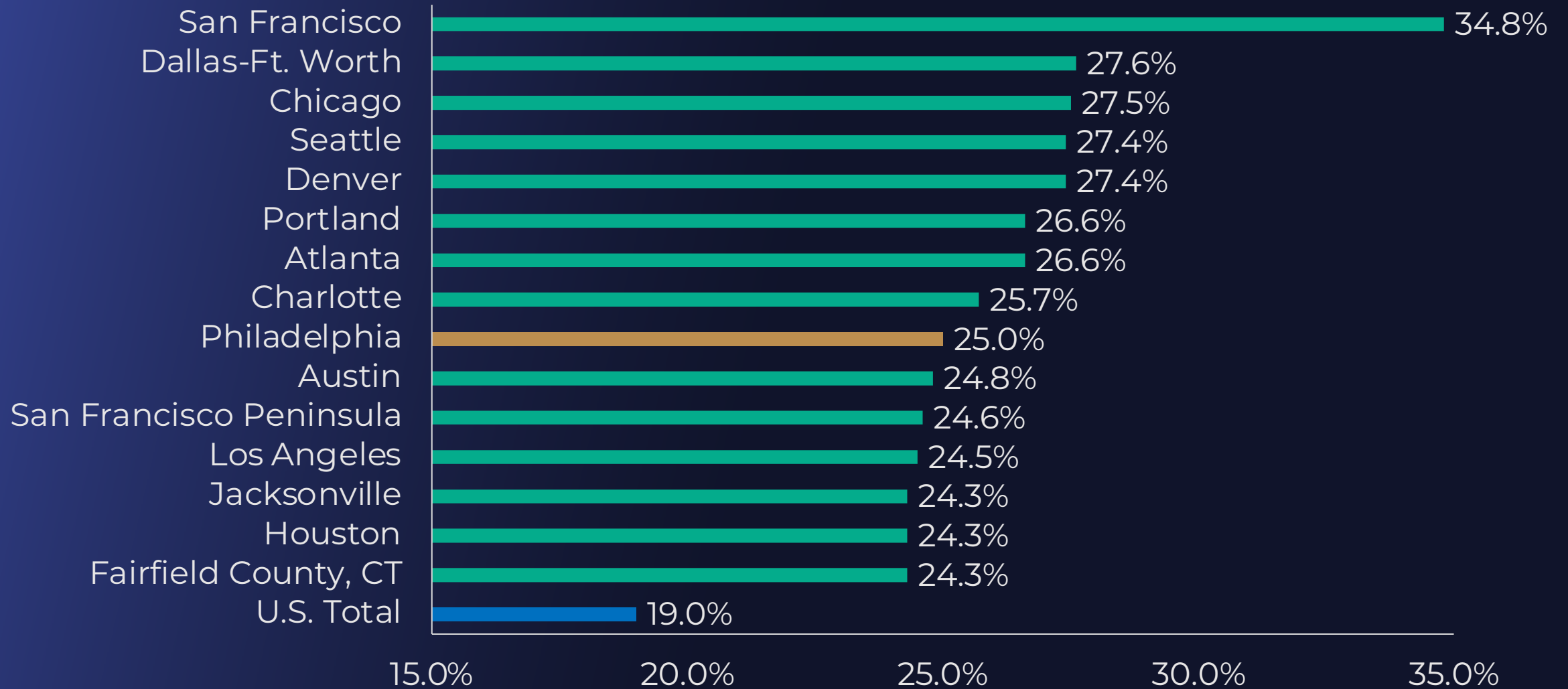
U.S. Credit Card Debt, 2003 – 2025



Shaded areas indicate U.S. recessions

Source: FRED; New York Fed Consumer Credit Panel/Equifax

Highest Office Vacancy Rates, 2025Q2



U.S. Cities Face Fiscal Stress

- With the city facing a projected \$1.12 billion shortfall in 2026 Chicago Mayor Brandon Johnson said recently, “We have reached a point of no return”.
- Between December 2024 and April 2025, Chicago, Los Angeles, San Francisco, and Washington all experienced credit rating downgrades.
- According to research conducted by The Pew Charitable Trusts, at least 20 of the nation’s 25 most populous cities have reported budget gaps for fiscal year 2026—and often beyond.

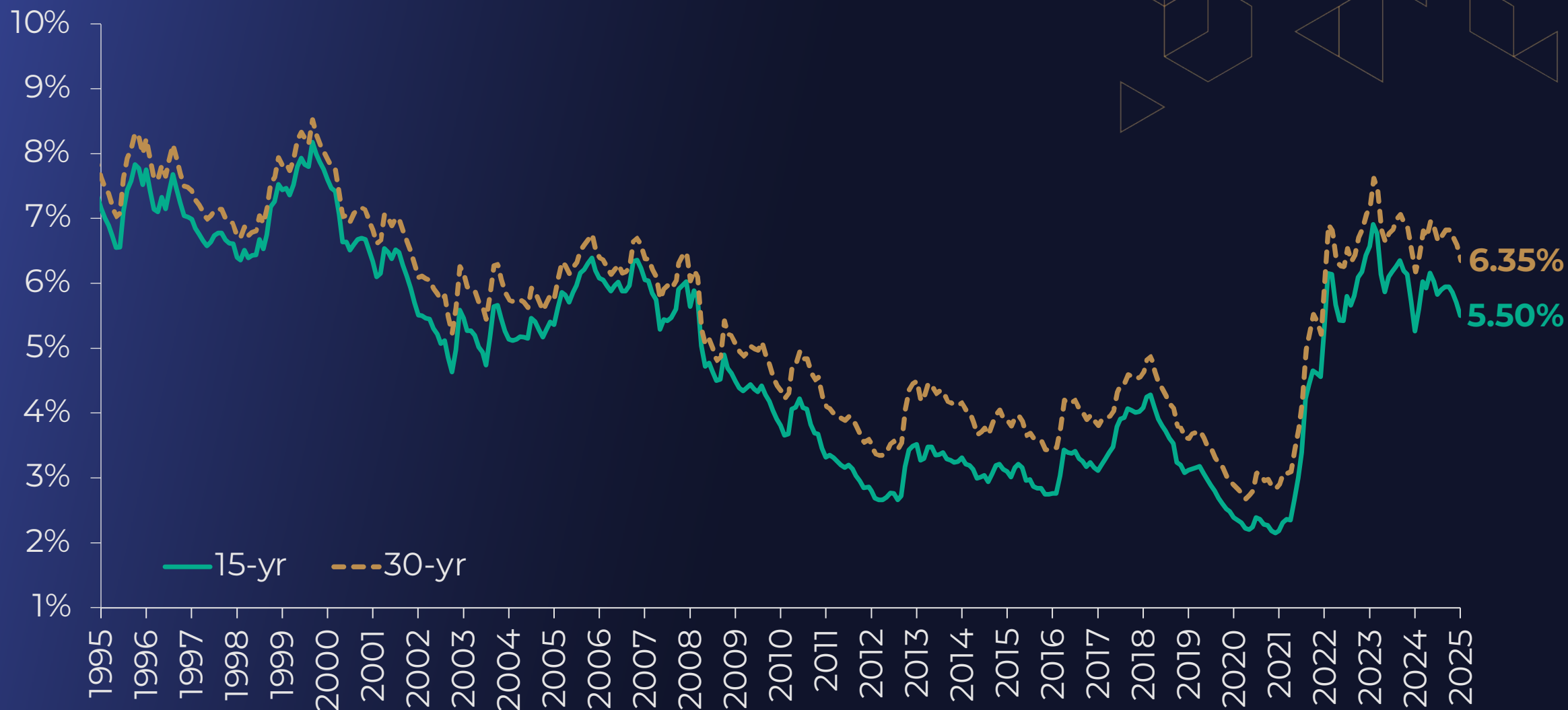
Fences



Fences (2016)—Denzel Washington as Troy Maxson, Pittsburgh sanitation worker

U.S. 15-Year & 30-Year Fixed Mortgage Rates

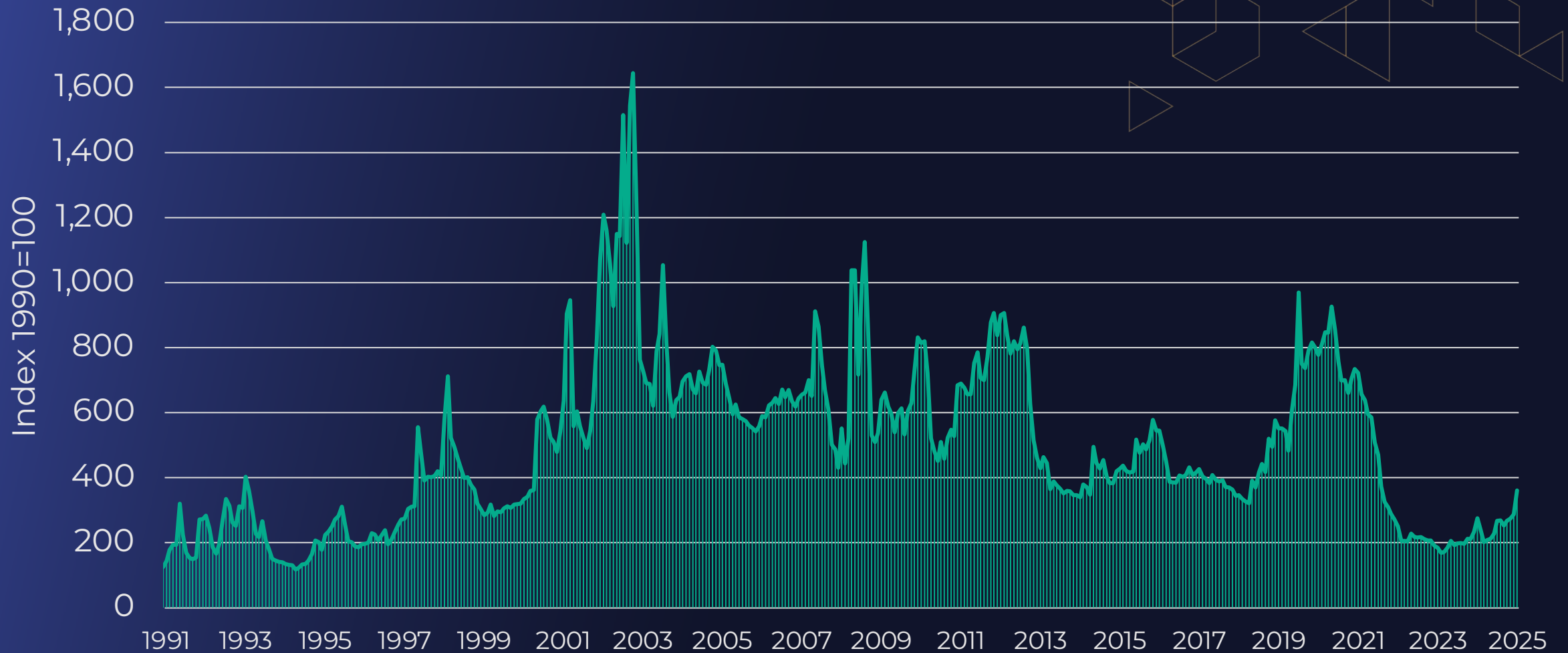
1995 – September 2025*



Source: Freddie Mac *Week ending 9/11/2025

U.S. Mortgage Loan Applications Composite Index

1991 – September 2025



Source: Mortgage Bankers Association (MBA)

S&P Case-Shiller Home Price Index

1995 – June 2025



Source: Standard & Poor's

U.S. Residential Building Permits

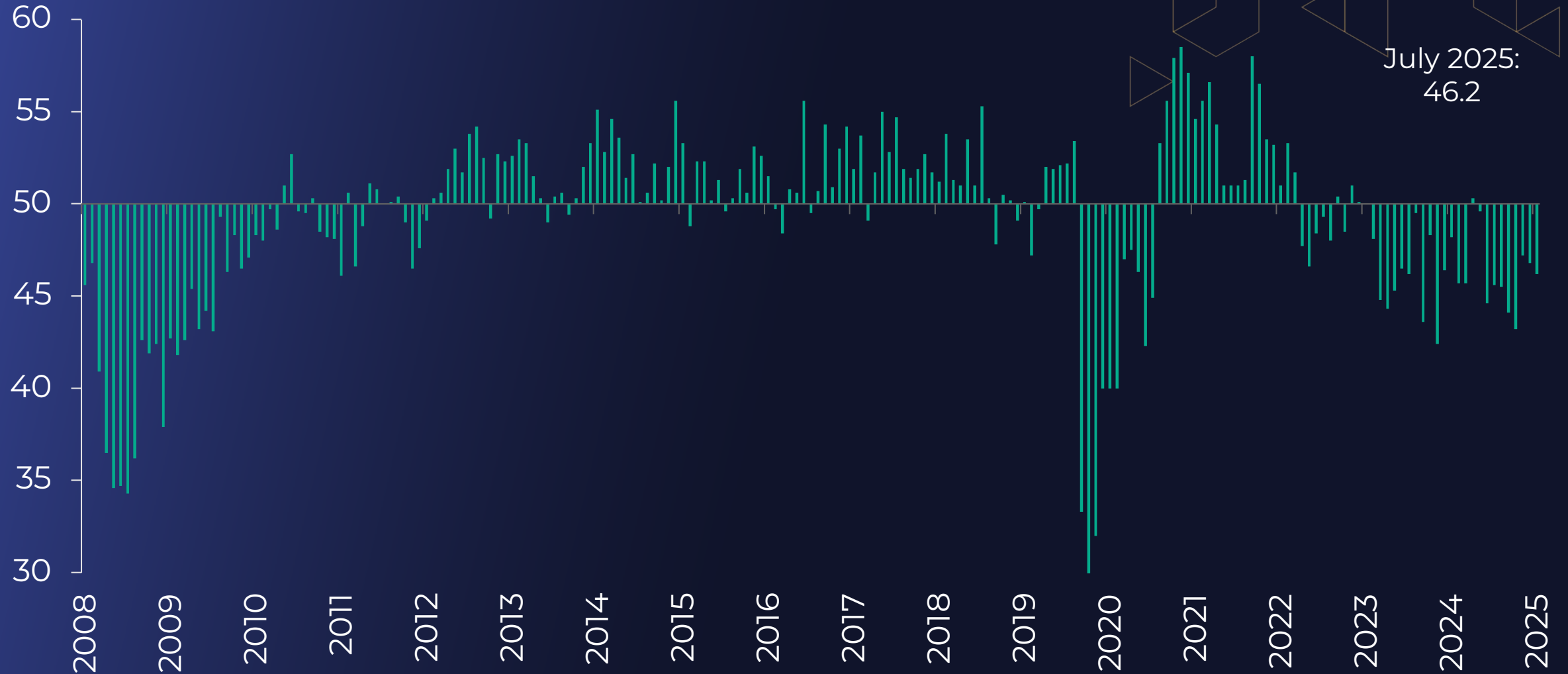
1995 – July 2025

Thousands of Units, Seasonally Adjusted Annual Rate



Architecture Billings Index

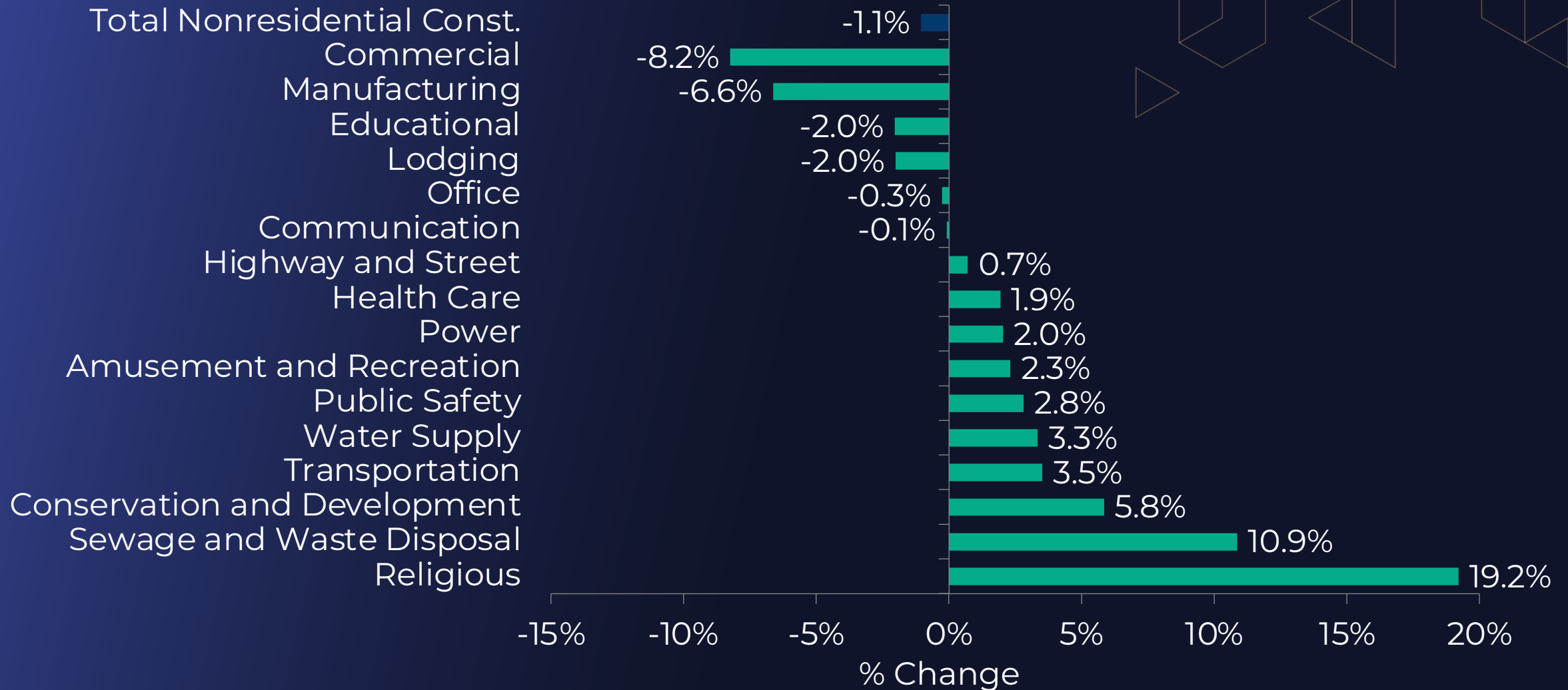
2008 – July 2025



Source: The American Institute of Architects

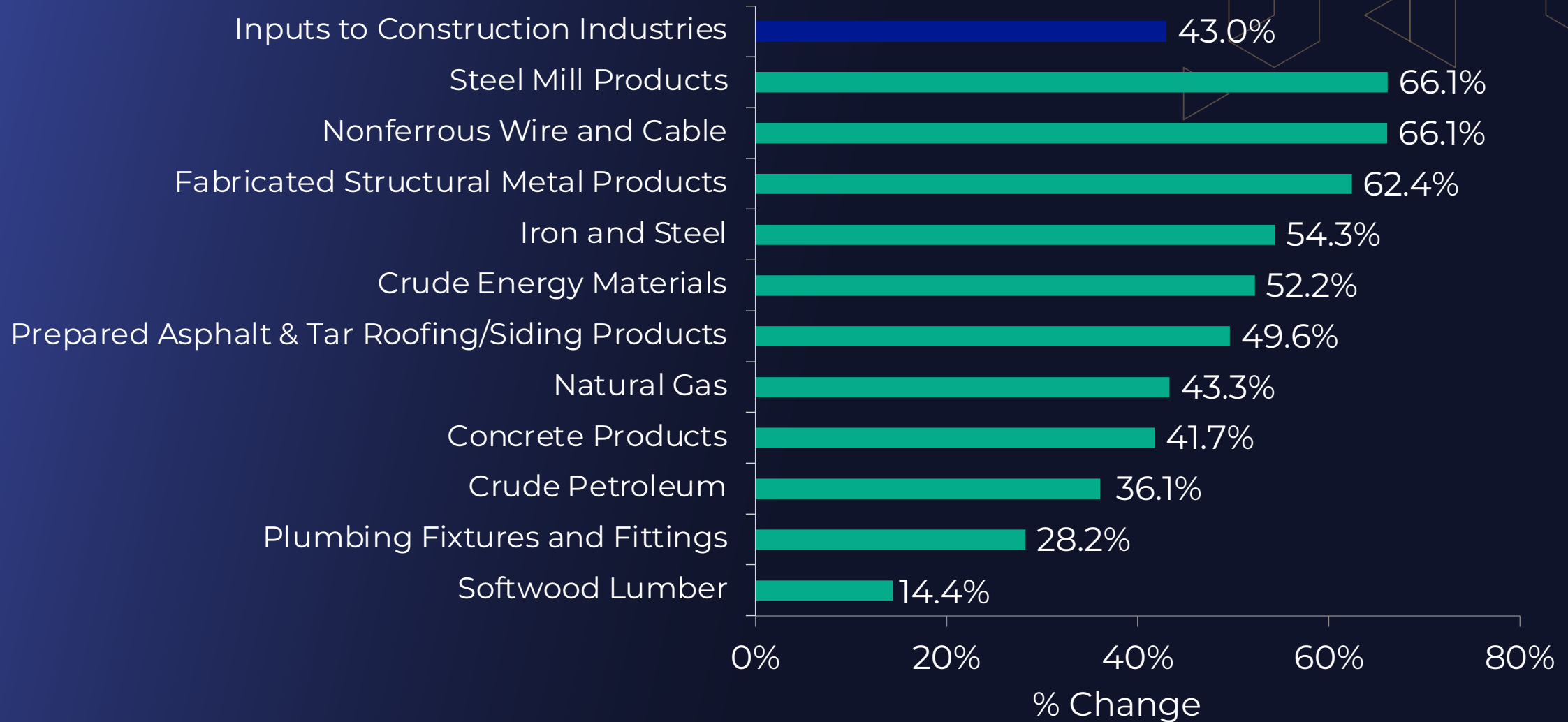
Nonresidential Construction Spending by Subsector

June 2024 v. July 2025 (Current \$)



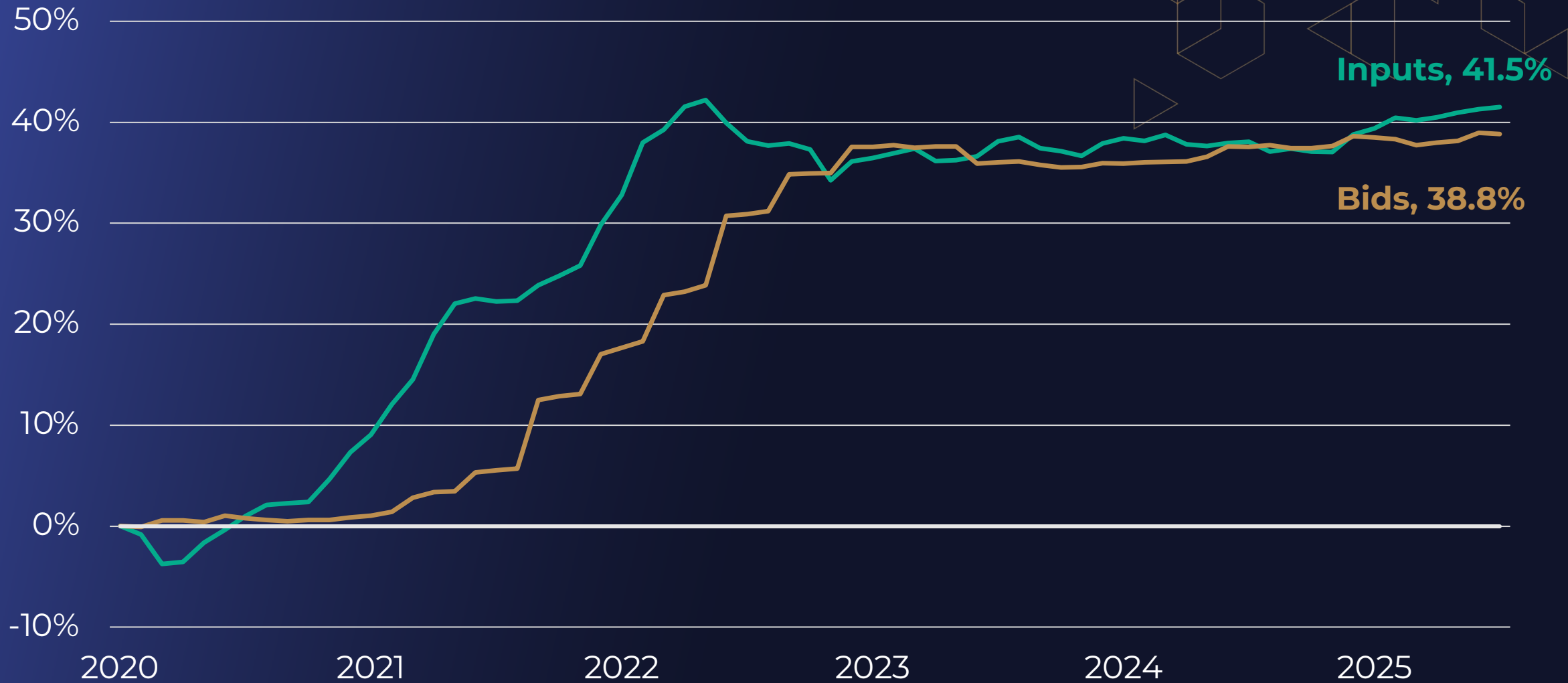
Construction Materials PPI (NSA)

February 2020 v. August 2025



New Nonresidential Construction: Input Costs v. Bid Prices

% Change v. February 2020



Source: U.S. Bureau of Labor Statistics

Inputs: PPI Commodity data for Inputs to new nonresidential construction, excluding capital investment, labor, and imports.

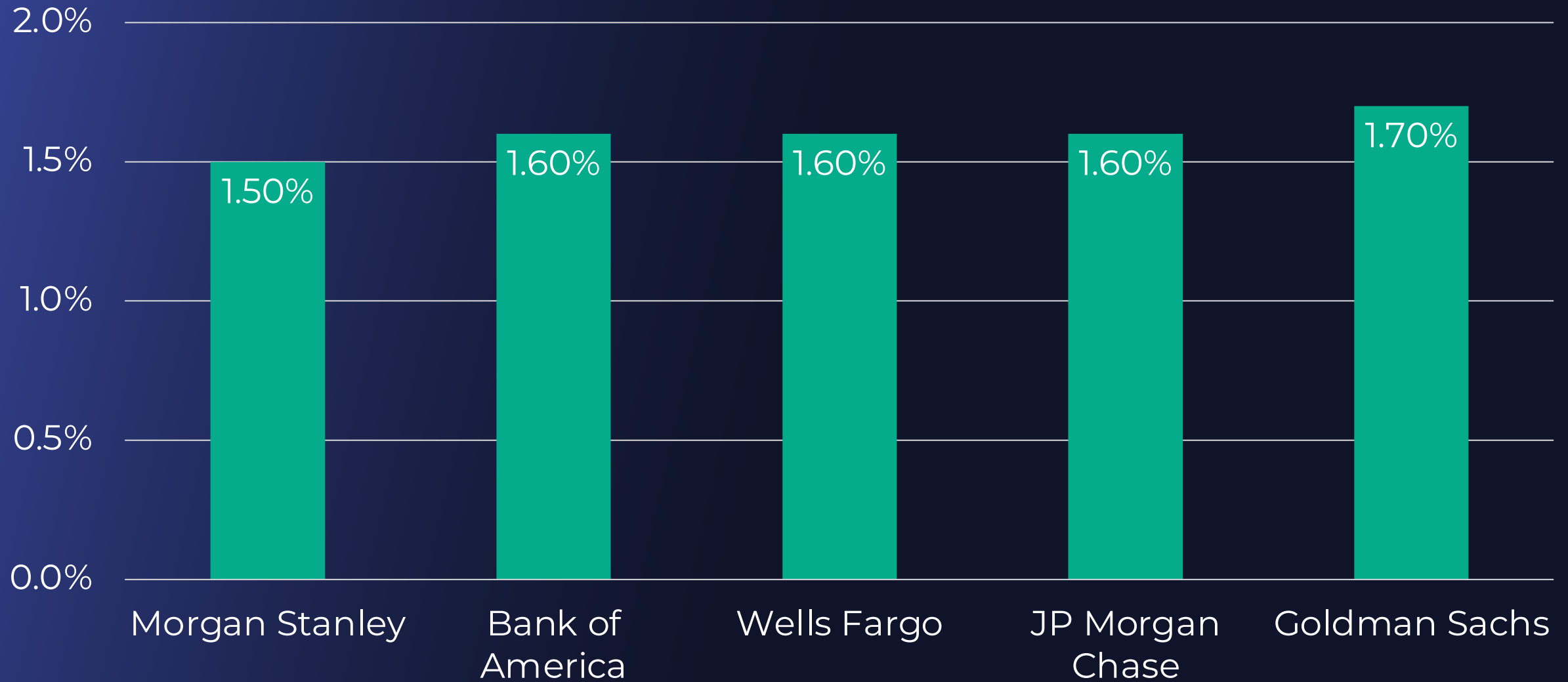
Bids: PPI Commodity data for Construction (partial)-New nonresidential building construction.



Glory

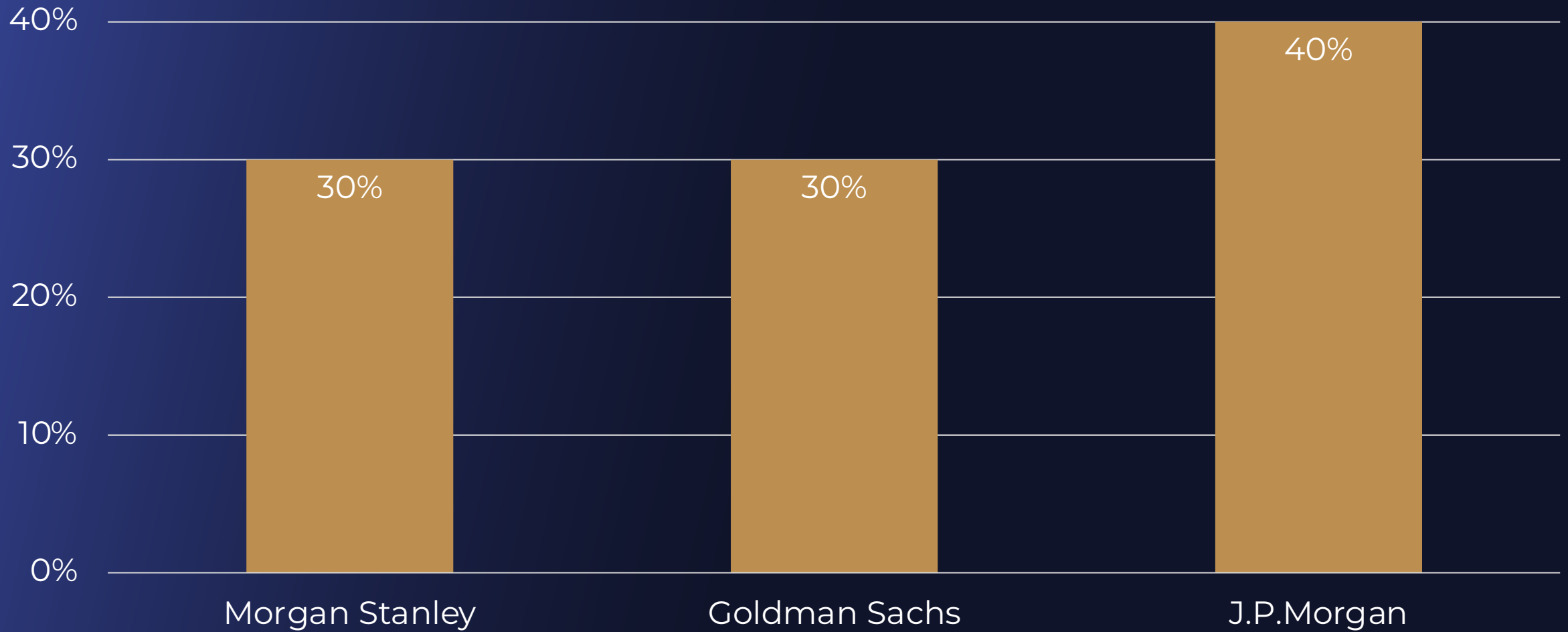
Glory (1989)—Denzel Washington as Trip, a member of the 54th Massachusetts infantry regiment

Major Banks' Forecasts for U.S. GDP Growth in 2025



Source: Brokerage and media reports

2025 Recession Probability, Major Brokerage Forecasts



Source: Reuters

Out of Time

Could N. American Economy Surprise to the Downside?

- Inflation poised to stage a comeback – blame tariffs;
- Interest rates will be higher for longer – ditto;
- Many consumers now exhausted financially, and circumstances could worsen – right, because of tariffs;
- Are asset prices overextended? This may have something to do with tariffs;
- So forecast was for growth in 2025, but there are risks, including rising interest rates and falling asset prices, and that's because of . . . well you know.

Thank You

BIG U'25

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Q&A

Thank You